



Global Foreign Exchange Risk Management Policy

Policy Number: FP-FIN-205
Policy Owner: Mike Hollman
Department Sponsor: Treasury
Last Updated: 12/15/ 2022

PURPOSE

Hilton Worldwide conducts business in many countries and currencies and is exposed to fluctuations in foreign exchange (FX) rates. Team Members engaged in the conversion of currencies or the management of FX risk on behalf of Hilton Worldwide or any other groups named herein must follow the guidelines outlined in this policy.

POLICY SUMMARY

Hilton Worldwide has established a policy and process to ensure consistency, appropriateness and standardization in its approach to dealing with FX risk and the hedging thereof. The policy seeks to ensure best practice by maximizing economic value, financial control, process efficiency and visibility to financial data. Team Members are responsible for supporting that effort through compliance with this policy and are required to read and comply with all applicable policies.

Treasury is solely authorized to execute FX derivatives on behalf of any Hilton entity (see Applicability). Certain other Team Members in Finance are authorized to execute FX spot transactions as specified in Section B. Any use of FX spot or derivative instruments for *speculative purposes*¹ is strictly forbidden. Violation of this policy may result in disciplinary action.

Questions related to this policy or other FX topics should be directed to Treasury.

BACKGROUND / SCOPE

Fluctuations in FX rates can erode enterprise value through volatility, lack of visibility and financial loss associated with future cash flows and earnings. Prudent management of FX risk is essential for Hilton's global growth.

Hilton Worldwide policies must be reviewed, maintained and made available to all applicable employees to promote compliance and accountability.

APPLICABILITY

This policy applies to all Team Members engaged in any aspect of currency management on behalf of Hilton Worldwide, including all corporate entities, and any owned and leased properties.

Hilton joint ventures, managed entities and homeowners associations ("HOAs") are not directly subject to the provisions in this policy; however, any FX management activities at those entities should be conducted in a manner consistent with the objectives and principles defined herein. This policy should be applied at joint ventures, managed entities and HOAs in the absence of specific FX policies defined in their respective management agreements or other governing documents.

EXCLUSIONS / EXCEPTIONS

See Applicability.

¹ *Speculation* means the execution of an FX spot or derivative transaction without an underlying FX Exposure or in a manner resulting in a net increase in FX risk as defined in this policy, for any purpose.



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POLICY DETAILS

A. FX Risk Management Objectives	Hilton's general FX risk management objective is to protect cash flow from changes in FX rates. Hilton may use financial instruments, including derivatives, to mitigate risk to acceptable levels (as defined herein) and shall endeavor to do so at the lowest possible cost. The focus of Hilton's FX risk management shall be transactions resulting in Non-Functional Currency cash flow² (ie, <i>transaction risk</i>) but translation risk, the revaluation of Non-Functional Currency assets and liabilities, may be hedged as well. Hilton's strategy for hedging Net Monetary Asset (NMA) Exposure shall be to appropriately neutralize risk to both cash flow and earnings through the use of FX Forwards and spot trades. Hilton's strategy for hedging Forecasted Cash Flow (FCF) Exposure shall be reduction of long-term cash flow volatility and/or avoidance of excessive loss of cash flow through the use of FX Forwards and/or FX Options. Where appropriate, Hilton shall seek to minimize any earnings volatility associated with hedging forecasted exposures through hedge instrument selection and/or election of hedge accounting treatments.
B. Authority (Treasury)	Treasury is solely authorized to execute FX derivatives on behalf of any Hilton entity. Treasury may delegate other Finance staff to execute specific FX derivative or spot trades on Treasury's instruction.³ Notwithstanding those transactions executed outside of Treasury, the following shall apply to all transaction executed by Treasury: ▪ External and intercompany FX Transactions shall only be executed and recorded by Treasury Liquidity and Capital Markets staff duly authorized by the Treasurer. ▪ External FX Transactions shall only be verified and settled by Treasury Back Office staff duly authorized by the Treasurer. ▪ The Treasurer shall provide Authorized FX Counterparty Banks with an updated list of authorized Liquidity and Capital Markets and Back Office staff.
C. Authority (Non-Treasury)	<u>No Team Member outside of Treasury is permitted to execute any FX derivative contracts for any Hilton entity, unless specifically delegated by Treasury for a specific purpose³.</u>
D. FX Exposure Definition	For purposes of this policy, Hilton defines two categories of FX Exposure to be hedged. In both cases, FX Exposure is defined from the perspective of the Exposed Entity and in the Exposure Currency relative to that entity's Functional Currency. Intercompany transactions may give rise to exposure for either or both parties, depending on the Transaction Currency relative to the Functional Currency of each party. (1) Net Monetary Asset ("NMA") Exposure includes recorded assets and liabilities (a) that represent, or are exchangeable for, fixed amounts of cash or other liquid assets, (b) that are denominated in Non-Functional Currencies and (c) for which any periodic FX revaluation is recorded in earnings. Examples include: - Bank cash & cash investments (see Section H: <i>Cross-Currency Liquidity Management</i>) - Accounts payable & receivable (including intercompany payments)

² This includes cash flows that are denominated and/or paid in Functional Currency, but variable in amount, with final settlement being tied to a Non-Functional Currency exchange rate. (eg, management fees collected from non-US hotels as a percentage of local currency revenue, but invoiced and paid in USD)

³ Banks in certain emerging markets may require execution by a local resident and/or in the local language.



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- Notes payable & receivable (external)
 - Short-term intercompany funding⁴

Excludes: Designated and Undesignated Long-Term Intercompany Funding

NMA Exposure excludes any monetary asset or liability (eg, intercompany funding), or other balance sheet item (eg, net investment in a foreign subsidiary), that is formally designated as *long-term* in nature (ie, with any FX gain/loss being recorded in equity).⁵ Such transactions are not expected to yield FX impacts to cash flow or earnings.

- (2) **Forecasted Cash Flows (FCF) Exposure** includes cash flows from transactions that are (a) not yet recorded as assets or liabilities, but *firmly committed* or *highly likely to occur*⁶ over a rolling 24 month horizon and (b) denominated in Non-Functional Currencies.

Examples include:

- Forecasted hotel fees and affiliated payments
- Forecasted vendor and other external payments
- Forecasted intercompany equity funding and distributions (eg, dividends)

Any use of derivatives to hedge other forms of FX risk (such as *contingent transaction risk*⁷, *translation risk*⁸ or *economic risk*⁹) is subject to approval of the CFO.

E. FX Hedges

Any use of FX Transactions for speculative purposes is strictly prohibited. Hilton shall primarily enter into FX Transactions for hedging and/or converting Non-Functional Currency cash balances or flows. In some instances, Hilton may choose to hedge translation exposure as well to guard against earnings risk.

An **FX Hedge** is defined as any FX Transaction (including FX Spot, Forward, Swap and Option contracts, or hybrids thereof), executed with an external or internal party, to mitigate FX risk associated with one or more FX Exposures at an Exposed Entity. For the purpose of policy compliance, an FX Hedge can also include an outstanding FX Order to execute an FX Transaction (see Section J, *Use of Orders*).

FX Hedges must always be (a) opposite in direction (*long* vs *short*), (b) no greater in notional amount and (c) not materially longer in term (if known) than the underlying FX Exposure.

F. FX Hedging Relationships

Every FX Hedge shall be executed under one of the following models in order of preference:

- (1) **Direct Hedging.** The Exposed Entity enters into an FX contract with an external bank.

Direct Hedging shall be used (a) for FX Hub Entities, to externally off lay consolidated FX risks or (b) for non-FX Hub Entities, when Intercompany Hedging is not permissible, but bank lines are available.

For NMA exposures, Treasury will seek to consolidate FX exposures at Hilton Worldwide FS Treasury Ltd ("UK Finco") whenever possible and execute direct hedging strategies between UK Finco and external banks.

⁴ Short-term intercompany funding includes Short-Term Intercompany Notes & Facilities and In-House Bank Accounts. (see FP-FIN-201 *Global Intercompany Payments and Funding Policy*)

⁵ See Hilton Accounting Policy document FP-FIN-031 Accounting for Foreign Currency.

⁶ The assumption that a transaction is *highly likely to occur* should be based on historical activity or a documented future event.

⁷ *Contingent FX risk* is dependent on a discrete business event with unknown outcome (eg, potential acquisition of a foreign asset).

⁸ *FX translation risk* impacts presentation of foreign subsidiary financial statements or translation of foreign currency earnings.

⁹ *FX economic risk* involves general business impacts (eg, reduced demand for hotel rooms) associated with FX rates.



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- (2) **Intercompany Hedging.** The Exposed Entity enters into an FX contract with an FX Hub Entity, which then aggregates the resulting exposure into its own position and enters into a Direct Hedge, if necessary, with an external party (eg, a bank).

Intercompany Hedging shall be used by default for all eligible non-FX Hub Entities wherever permissible¹⁰ to consolidate FX risk from non-FX Hub Entities to FX Hub Entities.

For FCF exposures, Treasury will seek to execute external trade between Hilton Finance, Inc. ("HFI") and external banks, and intercompany trades between HFI and Hilton entities that collect non-functional fee flow, primarily Hilton Worldwide Management ("HWML")

- (3) **Indirect Hedging.** An entity other than the Exposed Entity enters into a derivative contract with an external bank. This results in an accounting mismatch between the entity recording the results of the hedge and the entity recording the impacts of the underlying exposure.

Indirect Hedging shall be used by *exception* and only when Direct Hedging is not available (eg, due to lack of bank FX lines for the Exposed Entity) and Intercompany Hedging is not permissible (eg, due to regulatory restrictions).

Treasury will determine the appropriate type of relationship for each hedge, based on availability of bank lines, market dynamics, financial efficiency, operational efficiency and/or regulatory issues, with input from Tax, Accounting and Operations Finance as appropriate.

Execution of external transactions (Direct and Indirect Hedges) is subject to Section O, *Procedures: External Transactions*. Execution of Intercompany Hedges is subject to Section P, *Procedures: Intercompany Transactions*.

G. Default Hedge Strategy

The default hedge strategy is intended to provide direction while allowing for *structured flexibility* in hedging decisions.

Permitted Instruments

- NMA Exposure shall be hedged with FX Forwards and spot trades, but Options may be used with approval from the Treasurer.
- FCF Exposure may be hedged with FX Forwards and/or purchased FX Options. However, the specific terms of any FX Options (including option type and strike rate/delta) are subject to review by the Treasurer. (See *Use of Options*, Section I)

Hedge Ratios and Limits

Hilton's default hedging strategy is to hedge identified exposures according to the applicable Target Hedge Ratio. Deviations from the Target Hedge Ratio are permissible, but subject to compliance with both of the following limits:

- Hedge Ratio must fall within the applicable Minimum and Maximum Hedge Ratios.
- Notional Hedge Variance must be no greater than the applicable Notional Hedge Variance Limit.

Hedge positions may be accumulated incrementally to increase Hedge Ratios over time within the applicable limits. Hedges should be unwound (ie, partially or fully liquidated) to maintain Hedge Ratios within the applicable limits in the event of a material reduction in an FX Exposure, but

¹⁰ Intercompany Hedging is not available for all entities. In some jurisdictions, FX losses from Intercompany Hedging may not be deductible for local taxes.



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hedges may not otherwise be unwound to intentionally decrease a Hedge Ratio, even within applicable limits, without approval of the Treasurer.¹¹

See Appendix A for explanations of Risk Metrics and Limits.

Hedge Tenor

The maturity date of the FX Hedge should match that of the underlying FX Exposure if the maturity date of the exposure is known.¹² If the maturity date of the exposure is not known, the hedge may be executed for a short-dated maturity (e.g., one-three months). Hedges may be rolled forward (extended) or backward (terminated early) to accommodate the maturity date of the underlying exposure.

Remediation

Any limit violation, whether arising from a change in approved FX Exposure or a change in FX Hedge, must be remediated within two business days through any of the following:

- Execution of an FX Transaction, in accordance with this policy, remediating the violation
- Placing of an FX Order, with an Approved Counterparty (see Section J, *Use of Orders*), that would result in remediation of the violation if executed
- Documentation of an approved Hedging Exception (see Section L, *Hedging Exceptions*)

Hedge Exemptions

The following exposures are exempt from hedging requirements:

- Exposures less than USD 2,500,000 equivalent per Risk Unit. (Exposures less than this amount may be hedged at the discretion of the Director, Treasury Liquidity and Capital Markets)
- Exposures in Pegged Currencies. (However, Pegged Currencies may be hedged, subject to the approval of the Treasurer)
- Exposures in Unhedgeable Currencies

Treasury shall maintain up to date records of Pegged and Unhedgeable Currencies and note in management reporting.

H. Cross-Currency Liquidity Management

It is Hilton's policy to generally minimize cash held outside the US through tax-efficient repatriation and/or pooling via intercompany funding instruments.

Most of Hilton's NMA Exposure arises from intercompany funding instruments. Hilton shall seek to concentrate global liquidity in a small number of centralized entities through the use of intercompany funding instruments (See FP-FIN-201 *Global Intercompany Payments and Funding Policy*). Hilton shall manage any cross-currency flows arising from intercompany funding transactions through the use of FX Swaps.

Any temporary surplus cash and cash investments held by entities outside the US and UK shall be held in the Functional Currency of the owning entity. Non-US/UK entities may hold temporary surplus funds in USD instead of local currency as a cash hedge against expected future USD

¹¹ Liquidating a hedge of an existing exposure, with the expectation of later reinstating it, would be considered *speculative*. However, replacing one form of hedge with another (e.g., replacing an option with a forward), is permissible.

¹² Certain NMA Exposures, such as cash and IHB Accounts, have no defined maturity date.



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outflows, subject to approval from Treasury (Director, Liquidity and Capital Markets).¹³ (See FP-FIN-200 *Global Cash Management Policy* and FP-FIN-201 *Global Cash Investment Policy*)

I. Use of Options	Any use of FX Options is subject to approval by the Treasurer due to the potential initial outlay of cash (for purchased options) and unique risk characteristics. Options may be purchased outright or sold in conjunction with purchased options to minimize net premium outlay. Sale of options in isolation (i.e., “naked sales”) is forbidden. ¹⁴ Determination of strike rate/delta and other option characteristics are subject to approval of the Treasurer.
J. Use of Orders	FX Orders may be used to execute large or sensitive trades, or to limit adverse rate movement while liquidity is insufficient and/or market rates are unattractive. FX Order details must be recorded and available to other Treasury Liquidity and Capital Markets staff. Use of Orders is subject to approval by a Vice President within Treasury.
K. Acceptable Counterparties	Any FX Transactions executed by Treasury must be executed with an Acceptable Counterparty. An Acceptable Counterparty must be a relationship bank that has extended a FX trading line to Hilton. See Appendix B for a list of Acceptable Counterparties. The permanent addition or removal of an Acceptable Counterparty, or one-time approval of a transaction other than with an Acceptable Counterparty, is subject to the approval of the Treasurer.
L. Hedging Exceptions	The following hedging exceptions are subject to approval of the Treasurer: ▪ Hedging below/above the Min/Max Hedge Ratios (but not less than 0% or greater than 100%), or exceeding the Notional Hedge Variance Limit ▪ Hedging NMA Exposure with instruments other than FX Forwards ▪ Hedging with hybrid derivatives or exotic options (i.e., other than European style) ▪ Hedging with proxy currencies¹⁵ The following hedging exceptions are subject to approval of the CFO: ▪ Hedging FCF Exposures longer than 24 months ▪ Execution of any hedge of an FX risk other than NMA or FCF as defined herein, including <i>contingent transaction risk</i>, <i>translation risk</i> and <i>economic risk</i>. (see Section D, <i>FX Exposure Definition</i>) All other hedging exceptions are subject to approval of the CFO.
M. Transaction Limits	The following transaction limits shall apply to any <i>incremental</i> FX Transaction, or group thereof, executed by Treasury with an external counterparty: <u>NMA Exposure Hedging Approval Limits:</u> ▪ Director, Liquidity and Capital Markets: up to \$10 million equivalent ▪ Senior Director: up to \$25 million equivalent ▪ Vice President: up to \$50 million equivalent

¹³ In such a case, Treasury would record a *long* USD NMA Exposure and a *short* USD FCF Exposure at the entity.

¹⁴ Options may be sold only as part of a *net zero* or *net purchase* package. Packages in which the potential liability of the sold options exceeds the potential asset of the purchased options are forbidden.

¹⁵ A proxy currency hedge is a hedge in a currency pair that is highly correlated to the currency pair of the exposure.



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- Treasurer: up to \$100 million equivalent
 - CFO: up to \$250 million equivalent
 - CEO: greater than \$250 million equivalent

FCF Exposure Hedging Limits:

- Director, Liquidity and Capital Markets: N/A
- Senior Director: N/A
- Vice President: up to \$25 million equivalent
- Treasurer: up to \$100 million equivalent
- CFO: up to \$250 million equivalent
- CEO: greater than \$250 million equivalent

An *incremental* FX Transaction is one increasing Hilton's total derivatives portfolio. This excludes rollovers or other extensions of existing transactions.

N. Procedures: Exposure Management

Treasury is responsible for identifying and maintaining up to date records of FX Exposures. Accounting and Operations Finance are responsible for providing data requested by Treasury and for notifying Treasury of any potential information that could result in a change in FX Exposure.

FCF and NMA Exposure data shall be collected and updated at least monthly, or as changes occur. NMA Exposure shall be updated with each change in cross-currency Intercompany Funding.

All changes to exposure data shall be reviewed and approved by the Director, Liquidity and Capital Markets.

All exposure data approved by the Director, Liquidity and Capital Markets shall be reviewed at least weekly by the Vice President within Treasury and monthly by the Treasurer or CFO (see Section R, *Reporting*).

O. Procedures: External Transactions

All FX Transactions executed by Treasury with external counterparties, or by other staff on behalf of Treasury, must adhere to the following procedures:

- Trades shall be executed electronically (e.g., via FXall or other website) or by telephone.
- Trades must be evaluated for price, overall flow levels, available credit, and executed with counterparties in a manner that balances these objectives. Where appropriate, quotations from multiple banks should be solicited. Single quote execution is acceptable for sensitive transactions (i.e., very large notional¹⁶ or non-standard instruments) or for nuisance trades (i.e., very small notional¹⁷).
- Trades shall be verified electronically (e.g., via FXall or other website) or by telephone.
- Trades must be verified within 24 hours of execution (excluding non-workdays) by a team member not involved in the trade execution. Verification errors (i.e., disagreement with counterparty) must be immediately brought to the attention of the staff member who executed the transaction for resolution. Unresolved verification errors shall be immediately brought to the attention of the Vice President within Treasury.

¹⁶ Varies with instrument, currency and market conditions and subject to Treasury discretion. Typically, larger than \$10m.

¹⁷ Typically trades less than \$500k in notional for major currencies.



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- Execution and verification of trades must be immediately noted in the designated FX system of record¹⁸.
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P. Procedures: Interco Transactions

All FX Transactions executed by Treasury with intercompany counterparties, or by other staff on behalf of Treasury, must adhere to the following procedures.

- Intercompany FX Transactions shall be executed at market rates under arm's length terms, as determined by Treasury
 - Intercompany FX Transactions shall be documented as an agreement between the Hilton counterparties. Intercompany FX Transactions shall be fully documented and recorded in the same manner as external FX Transactions.
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Q. FX Hedge Accounting

All hedging derivatives shall be marked-to-market based on market rates.

- (1) Hedges of **Net Monetary Assets & Liabilities (NMA)**. NMA hedges shall receive *undesignated* hedge accounting treatment, because the resulting FX gain/loss should offset that arising from the exposed net asset or liability transaction(s).
- (2) Hedges of **Forecasted Cash Flows (FCF)**. Hilton will seek to apply *cash flow* hedge accounting and will manage FCF hedging program to maintain this accounting treatment as much as practicable¹⁹

Accounting treatment for hedges of other exposures (eg, net investment hedges), the execution of which would require approval of the CFO, shall be determined by the Corporate Controller.

Results from Intercompany Hedges shall be recorded on the books of both parties, with each party recording an equal and opposite FX gain or loss.

R. Reporting

Management reports shall be prepared and distributed to the Treasurer, CAO, and Controller at least monthly and shall include:

- Summary of FX exposures and period changes
- Position reports (exposures, hedges, metrics) and valuations at the entity and consolidated level
- Summary of any approved Hedging Exceptions or Exemptions
- Trading volumes and credit exposure per external counterparty
- Periodic hedge results (realized vs unrealized gain/loss)

CFO will receive summarized reporting on a Quarterly basis

S. Approvals

When more than one approval criteria pertain to a given transaction, the highest level of approval required shall apply.

All approvals shall be documented in writing (email is acceptable) and retained by Treasury.

Hedging exceptions shall expire with the maturity of the Exposure or Hedge in question, unless otherwise indicated.

¹⁸ GTMS (aka *WallStreet Suite*) will become Hilton's global FX system of record beginning in 2012.

¹⁹ Certain hedge activities, including (a) use of proxy currency hedges and (c) use of Intercompany FX Hedges may impede Hilton's ability to apply Cash Flow Hedge accounting treatment.



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T. Policy Review This policy shall be reviewed, and revised as appropriate, at least annually. Any changes to this policy are subject to the approval of the CFO.

U. Tax Matters All FX instruments will be executed by Hilton Worldwide FS Treasury Ltd ("UK Finco") for the purpose of managing the risk of currency fluctuations of UK Finco

UK FinCo will elect to adopt Treasury Reg. 1.988-7 with the 2022 US tax return and going forward, which would apply a mark-to-market method of accounting to all Section 988 transactions (including intercompany notes and hedges).

Identification as Hedging Transaction for Purposes of Internal Revenue Code Sections 1092, 1221, 1256 and 263(g) and Treas. Reg. §1.446-4

As provided by Reg. Sec. 1.1221-2(f)(4)(iv)(B), it is our intention that all future external FX instruments, including FX Swaps, FX Forwards and FX Spots, entered into by UK Finco under this policy to manage the risk of currency fluctuations with respect to borrowings made or to be made, or ordinary obligations incurred or to be incurred, by the taxpayer, are to be contemporaneously identified:

- (i) as a hedging transaction within the meaning of sections 263(g), 446, 1221(a)(7), 1092(e), 1256(e), and Treas. Reg. §§1.446-4, 1.1221-2(f), and 1.1256(e)-1, and
- (ii) as a bona fide hedging transaction with the meaning of §954 and Treas. Reg. §1.954-2(a)(4)(ii)

Hilton Treasury will provide any reports, documents, and/or calculations needed by Hilton Tax to properly identify the underlying hedged items within 35 days of entering into a hedging transaction.

PROCESS FLOWS & DIAGRAMS

n/a

DEFINITIONS

Term / Acronym	Definition
Functional Currency	The currency in which an entity records its financial statements.
Non-Functional Currency	Any currency other than the Functional Currency of an entity.
FX Exposure	The net sum of any Net Monetary Asset (NMA) or Forecasted Cash Flow (FCF) in a Non-Functional Currency per Risk Unit.
FX Transaction	Any contract between two parties to exchange one currency for another, including FX Spot, Forward, Swap or Option contracts, or hybrids thereof.
FX Hedge	Any FX Transaction (including FX Spot, Forward, Swap and Option contracts, or hybrids thereof) executed for the express purpose of mitigating the FX risk associated with one or more FX Exposures.
FX Derivative Transaction	An FX Forward, Swap or Option transaction.
FX Hub Entity	A Hilton legal entity commonly engaged in extending Intercompany FX Hedges to other Hilton entities for the purpose of consolidating the resulting



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	FX risk and hedging externally. Examples may include Hilton Worldwide FS Treasury Ltd and Hilton Finance Inc.
FX Spot	A contract to buy an amount of one currency in exchange for an amount of another currency at a fixed rate at an immediate date, typically two business days after execution.
FX Swap	A contract to buy an amount of one currency in exchange for an amount of another currency at a fixed rate at an immediate date, typically two business days after execution, and sell back a similar amount of the same currency at a different rate at a future date. A swap effectively creates a loan in the bought currency and an investment in the sold currency.
FX Forward	A contract to buy an amount of one currency in exchange for an amount of another currency at a fixed rate at a future date, typically more than two business days after execution. An FX Swap is constructed from an FX Spot and an FX Swap, such that the net cash flows of the near leg are zero. For purposes of policy compliance, the term FX Forward shall be used here to include the far leg of an FX Swap.
FX Option	A contract granting the buyer the right, but not the obligation, to buy an amount of one currency in exchange for another at a fixed rate at a future date, typically more than two business days after execution, in exchange for a cash premium paid up front to the seller of the option.
FX Order	An instruction left with an FX counterparty (eg, a bank) to execute an FX Transaction at a given rate if and when that rate is traded in the market. Option variations include take profit (executed if the market rate improves to a given level) and stop loss (executed if the market worsens to a given level).
Exposed Entity	The Hilton legal entity owning the transaction(s) with FX Exposure.
Exposure Currency	The currency in which an FX Exposure is denominated.
Pegged Currency	A currency with an exchange regime that that pegged at a fixed rate to the USD. Current examples include Saudi Riyal (SAR) and UAE Dirham (AED).
Unhedgeable Currency	A currency for which no derivative or spot hedging instruments exist.

ROLES AND RESPONSIBILITIES

Entity / Personnel	Responsibilities
Treasury, Liquidity and Capital Markets	The Treasury, Liquidity and Capital Markets (Risk & Liquidity) is responsible for: - Identifying and monitoring Hilton's enterprise-wide FX Exposure with input from other Finance staff - Identifying hedging strategies appropriate for the exposure and compliant with this policy, with input from Tax and Accounting - Seeking Treasurer approval on any hedging exceptions



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	▪ Executing external and intercompany FX transactions ▪ Managing Hilton's global portfolio of FX transactions and providing all necessary information to other Finance staff as needed ▪ Communicating with Hilton's FX banking partners as needed
Treasury, Back Office	The Treasury, Back Office (Operations) is responsible for: ▪ Independently verifying all FX Transactions executed with external banks and notifying appropriate staff of any errors on a timely basis ▪ Settling all payment obligations as required under external or intercompany FX contracts, or advising other Hilton Finance staff to do so as appropriate, and advising other counterparties of correct settlement instructions for receipts ▪ Communicating with Hilton's FX banking partners as needed
Treasury, Middle Office	The Treasury, Middle Office (Infrastructure) is responsible for ensuring effectiveness of all systems, policies and controls supporting the FX risk management function, including: ▪ Security and configuration for the FX system of record and any websites ▪ Market data feeds and revaluation algorithms ▪ Executive, management and audit reporting ▪ Accounting data to support journal entries for FX transactions
Treasurer	The Treasurer is responsible for: ▪ Reviewing and approving or rejecting requests for Hedging Exceptions ▪ Reviewing periodic reports and ensuring that hedging activities are executed in a manner consistent with this policy
Tax	The Tax group is are responsible for: ▪ Identifying and advising Treasury of any tax implications of FX or inter-entity funding transactions
Accounting	The Accounting group is responsible for: ▪ Identifying and advising Treasury of any accounting implications of FX or inter-entity funding transactions ▪ Determining the appropriate accounting for and journalizing all FX and inter-entity funding transactions, with transaction data from Treasury
Operations Finance	Operations Finance staff are responsible for: ▪ Advising Treasury of any identified FX Exposure ▪ Advising and engaging the Treasury group on any identified FX transaction requirements, as outlined in Section B. ▪ Ensuring compliance with this policy, including preventing unauthorized FX transactions



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RELATED DOCUMENTS, TOOLS AND TEMPLATES

Policies & Procedures	Location
FP-FIN-200 Global Cash Management Policy	Link to policy online
FP-FIN-201 Global Intercompany Payments and Funding Policy	Link to policy online
FP-FIN-202 Global Cash Investment Policy	Link to policy online

Tools / Templates	Location
n/a	

APPENDICES



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Appendix A – Risk Metrics and Limits

The following metrics shall be used to quantify FX risk. All metrics will be calculated at least monthly and at any material change in exposures and/or hedges.

Terminology

- An **Exposure Group** shall be defined as a category of FX Exposures, used to apply Hedge Ratio Limits for a given combination of Exposed Entity and Exposure Currency. All NMA Exposures fall under one exposure group (NMA). FCF Exposures are broken out into several exposure groups by maturity date, relative to the date of analysis. Valid exposure groups are:
 - NMA = sum of all associated NMA Exposure
 - FCF03 = sum of all associated FCF Exposure maturing within 3 months
 - FCF06 = sum of all associated FCF Exposure maturing between 3 and 6 months
 - FCF09 = sum of all associated FCF Exposure maturing between 6 and 9 months
 - FCF12 = sum of all associated FCF Exposure maturing between 9 and 12 months
 - FCF15 = sum of all associated FCF Exposure maturing between 12 and 15 months
 - FCF18 = sum of all associated FCF Exposure maturing between 15 and 18 months
 - FCF21 = sum of all associated FCF Exposure maturing between 18 and 21 months
 - FCF24 = sum of all associated FCF Exposure maturing between 21 and 24 months
- A **Risk Unit** shall be defined as the basic unit for measuring exposure and hedging. Risk Units are defined for each unique combination of Exposed Entity, Exposure Currency and Exposure Group.

Example: Hilton Worldwide Inc (HWI) is forecasted receive EUR 100, EUR 70 and EUR 80 associated with FCF Exposure maturing in months 4, 5 and 6, respectively. The Risk Unit is defined as HWI-EUR-FCF06 and the value is EUR +250.

Calculated Figures

The following figures shall be calculated for each applicable Risk Unit. All notional figures are expressed in the direction of the cash flow (ie, positive receivables, negative payables). Figures may be presented in Transaction Currency or translated to USD at market rates.

- **Exposure** represents the amount of exposure before hedging. It is defined per Risk Unit as the net sum of all identified FX Exposures.
- **Target Hedge** represents the notional hedge position that would achieve the Target Hedge Ratio applicable for the Risk Unit. It is defined per Risk Unit as: $-1^{20} \times \text{Exposure} \times \text{applicable Target Hedge Ratio}$.

Example: Hilton is forecasted receive EUR 100 associated with FCF Exposure maturing in the next 6 months and the applicable Target Hedge Ratio is 75%. The Target Hedge is EUR -75.
- **Hedge** represents the actual notional amount of hedging in place. It is defined as the net sum of all FX Hedges per Risk Unit.
- **Net Exposure** represents the net notional amount of residual exposure after hedging. It is defined per Risk Unit as: $\text{Exposure} + \text{Hedge}$.

Example: Hilton is forecasted receive EUR 100 associated with FCF Exposure maturing in the next 6 months and has hedged by selling EUR 80 against USD. The Net Exposure is EUR +20.
- **Hedge Ratio** represents the level of actual hedging in percentage terms and is used to compare against the Minimum and Maximum Hedge Ratios. It is the quotient of the Hedge divided by the Exposure per Risk Unit.

Example: Hilton Worldwide Inc. has a net FX Exposure of long EUR 100 and has a net FX Hedge position of short EUR 70. Its Hedge Ratio is 0.70.
- **Notional Hedge Variance** is an absolute, notional measure of the degree of variation between the target and actual amounts hedged. It is used to compare against the Notional Hedge

²⁰ The -1 multiplier presents the Target Hedge amount in the correct sign (ie, opposite to that of the Gross Exposure).



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Variance Limit. For NMA Exposures, it is calculated per Risk Unit. For FCF Exposures, it is calculated as the absolute value of the net sum of the variances across for each unique combination of Exposed Entity and Exposure Currency, across Exposure Groups FCF03 through FCF24.

Hedge Limits

Hedge Ratio Limits

The following figures shall be calculated for each valid Risk Unit. All notional figures are directionally significant (ie, receivable, or *long*, amounts are positive and payable, or *short*, amounts are negative).

- **Minimum Hedge Ratio** is the lowest allowable Hedge Ratio per Risk Unit.
- **Maximum Hedge Ratio** is the highest allowable Hedge Ratio per Risk Unit.
- **Target Hedge Ratio** is the target Hedge Ratio per Risk Unit.

Notional Hedge Variance Limit (NHVL) is the maximum amount of Hedge Variance allowable per Risk Unit.

NMA exposure hedging will have NHVL of \$2.5mm, unless an exception is otherwise approved by the Treasurer.

FCF exposure hedging:

Exposure			Hedge Ratios			
Group	Description	Maturity Dates	Min	Target	Max	NHVL
FCF 03	FCF Exposure	0-3 months	0	80	100	N/A
FCF 06	FCF Exposure	3-6 months	0	70	100	N/A
FCF 09	FCF Exposure	6-9 months	0	60	100	N/A
FCF 12	FCF Exposure	9-12 months	0	50	75	N/A
FCF 15	FCF Exposure	12-15 months	0	40	75	N/A
FCF 18	FCF Exposure	15-18 months	0	30	50	N/A
FCF 21	FCF Exposure	18-21 months	0	20	50	N/A
FCF 24	FCF Exposure	21-24 months	0	10	25	N/A



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Appendix B – Approved Counterparties

The following banks are currently Approved Counterparties for FX transactions executed by Treasury.

- Deutsche Bank
- Bank of America
- JPMorgan Chase
- Wells Fargo
- Goldman Sachs
- Santander
- Barclays Bank
- Citibank
- Truist
- Standard Chartered
- PNC Bank NA
- Capital One
- US Bank
- Natwest
- US Bank
- Fifth Third
- HSBC
- [Insert new credit facility banks]